

SUSTAINABILITY REPORT

TRANSFORMING THE ENVIRONMENT

We are committed to creating a lasting, positive impact, driving transformation within our sphere of influence.

Lions, as keystone species, play a vital role in shaping their environment and maintaining ecosystem balance. Mosaics, too, have left a profound mark on art, architecture, and culture, continuing to inspire many of us today. Symbolising diversity and inclusion, mosaics unite distinct elements to create a unified whole, much like our approach to progress.



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INTEGRATED SUSTAINABILITY REPORT



1 THE WEB OF LIFE: WEAVING SUSTAINABILITY

Global Perspective of Sustainability

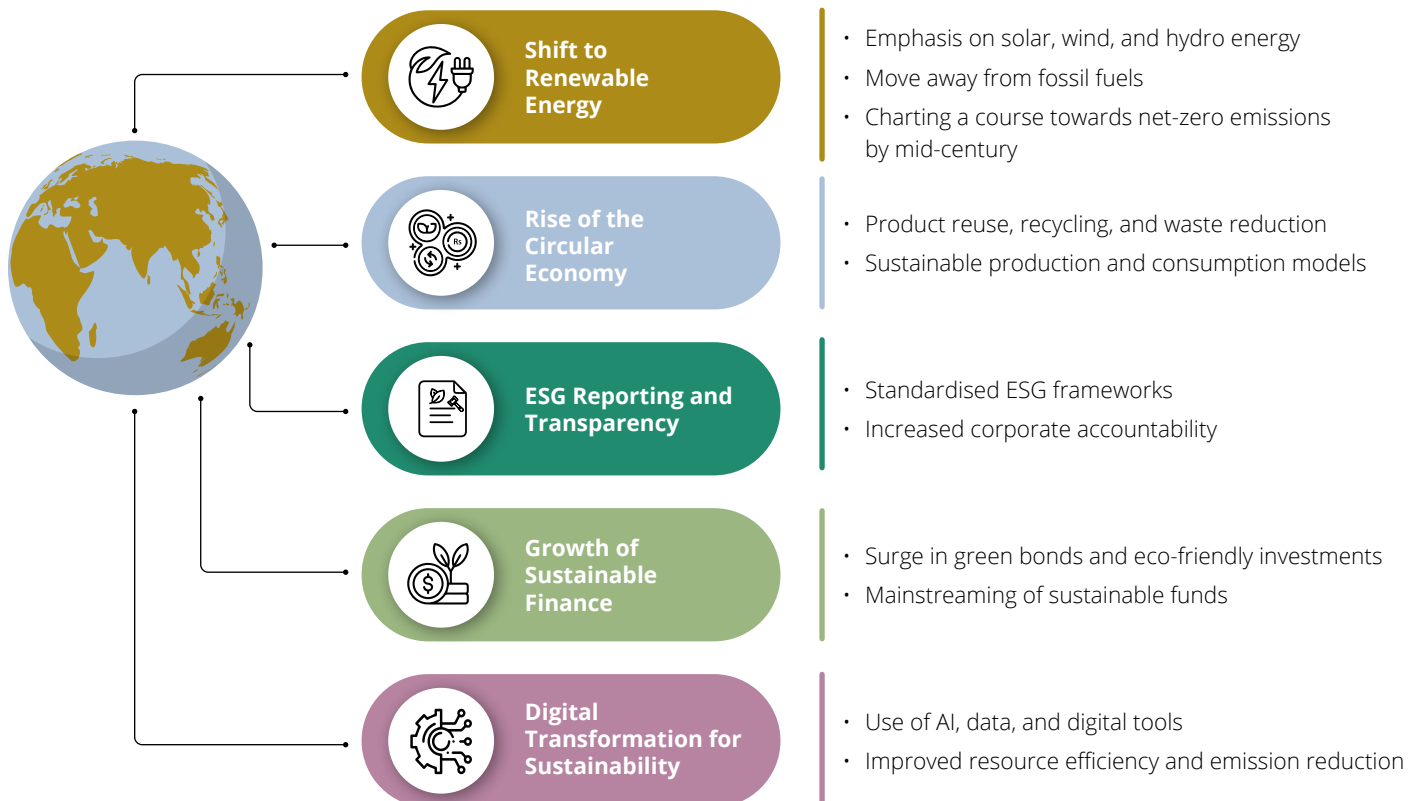
Sustainability has transitioned from a niche concern to a core element of global business strategy and public policy. In this context, energy transition and decarbonisation are now top priorities for businesses worldwide. Decarbonisation requires a comprehensive approach, with strategic investments in renewable energy and operational efficiency serving as key pathways. Success is increasingly defined by measurable reductions in emissions. Additionally, sustainability reporting has become a critical component of corporate accountability. The integration of technology to automate reporting and align sustainability disclosures across business functions is essential to demonstrate a genuine commitment to progress.

1.2. The Role of Sri Lankan Banking and Finance Companies in Promoting Sustainability

Sri Lanka's banking and finance sector is demonstrating proactive leadership in sustainability, fundamentally incorporating ESG principles into its operational and financing decisions. In direct response to pressing global and local climate challenges, these institutions are channelling capital towards sustainable projects, expanding green loan portfolios, and promoting innovative eco-conscious products like green bonds and dedicated sustainability funds.

There is a clear and growing commitment to funding renewable energy and energy-efficient infrastructure, critically supporting Sri Lanka's shift towards a low-carbon economy. Digital innovation is further amplifying their impact, reducing their operational carbon footprint via paperless solutions and enhancing financial accessibility. As investor appetite for sustainable opportunities intensifies, Sri Lankan financial institutions are well-equipped to spearhead significant environmental and social advancements with forward-thinking financial mechanisms.

Global Sustainability Trends



2. LEADING THE CHANGE, SHAPING TOMORROW

2.1 Message from the Chairperson – Board Sustainability Committee



Ms. Yanika Amarasekera

Chairperson – Board Sustainability Committee

As Chairperson of the Board Sustainability Committee, I am pleased to report on the significant progress LBF has made in integrating responsible and forward-thinking business practices. This year, we have made substantial improvements to our ESG framework, beginning with a comprehensive review and revitalisation of our ESG Policy.

This update ensures alignment with evolving stakeholder expectations, global best practices, and critical sectoral risks.

A key milestone was the development of our Climate Policy, which outlines our strategic approach to identifying, managing, and mitigating climate-related risks while seizing opportunities for sustainable innovation. In addition, we have started establishing clear sustainability-related Key Performance Indicators (KPIs) to effectively measure our progress and foster accountability for sustainability performance across all levels of the organisation.

Our Committee remains committed to embedding sustainability into the core of our corporate governance and strategic planning. We have made tangible progress in strengthening our compliance with both

national and international regulatory standards, reinforcing our culture of transparency and ethical leadership. At the same time, we have launched impactful sustainability projects that support community development, promote gender equity, and reduce our environmental footprint. These initiatives reflect our broader goal of going beyond compliance and leading by example.

Looking ahead, the Board Sustainability Committee will continue to provide rigorous oversight, ensure strategic alignment, and drive long-term value creation. We are committed to reinforcing LBF's position as a purpose-driven organisation dedicated to building a more sustainable and inclusive future.

2.2 Message from the Chairman – Sustainability Management Committee



Mr. Niroshan Udage

Chairman – Sustainability Management Committee

At LBF, sustainability is a core driving force embedded in our operations, innovation, and growth. As Chairman of the Sustainability Management Committee, I am proud to lead a dedicated team focused on integrating sustainable outcomes at every level of the business. This year, we strengthened our ESG governance, including early adoption of SLFRS S1 and S2, and became the first NBFI in Sri Lanka to calculate and verify our finance emissions under our carbon footprint, with Control Union Sri Lanka.

Our strategy is guided by key pillars such as customer centricity, sustainable growth, digital leadership, and risk governance,

while safeguarding the six capitals essential for our success: financial, manufactured, human, intellectual, social, and natural. We also formed strategic partnerships with organisations like MEPA, NARA, SMEConnect, and universities, advancing our sustainability journey.

As we scale our initiatives, our goal is to deliver value for shareholders and the broader ecosystem. We are committed to continuous innovation, inclusivity, and integrity, positioning LBF as a leader in sustainability within the financial services sector.

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3. SUSTAINABILITY STRATEGY

Sustainability is a core strategic focus at LB Finance, underpinning our vision to create long-term value for all stakeholders. Our approach is centered on integrating responsible business practices with financial performance, environmental stewardship, and social impact. The following strategies reflect our commitment to embedding sustainability across our operations, driving growth that is resilient, inclusive, and future-ready.

Strengthening Long-Term Financial Resilience

As a leading financial institution, LB Finance is committed to sound financial governance and risk management. By embedding resilience into our business model, we ensure sustainable value creation for stakeholders while navigating evolving market dynamics with stability and foresight. Our disciplined approach to financial stewardship underpins our ability to support the economy and remain agile in the face of uncertainty.



UNCG - Principle 8, 10



Minimising Environmental Footprint through Sustainable Practices

Environmental responsibility is a key pillar of our sustainability strategy. We continue to reduce our operational impact through energy-efficient practices, resource conservation, and investment in green financing solutions. Our alignment with global climate commitments reflects our dedication to protecting the planet and contributing to a low-carbon, sustainable future.



UNCG - Principle 7, 8, 9



Fostering Equitable and Inclusive Economic Progress

We believe sustainable development must be inclusive and far-reaching. Through expanded access to financial services, support for SMEs, and targeted regional outreach, LB Finance empowers individuals and communities to participate in economic progress. Our inclusive approach helps reduce inequalities and fosters shared prosperity across all segments of society.



UNCG - Principle 1, 2, 3, 4, 5, 6



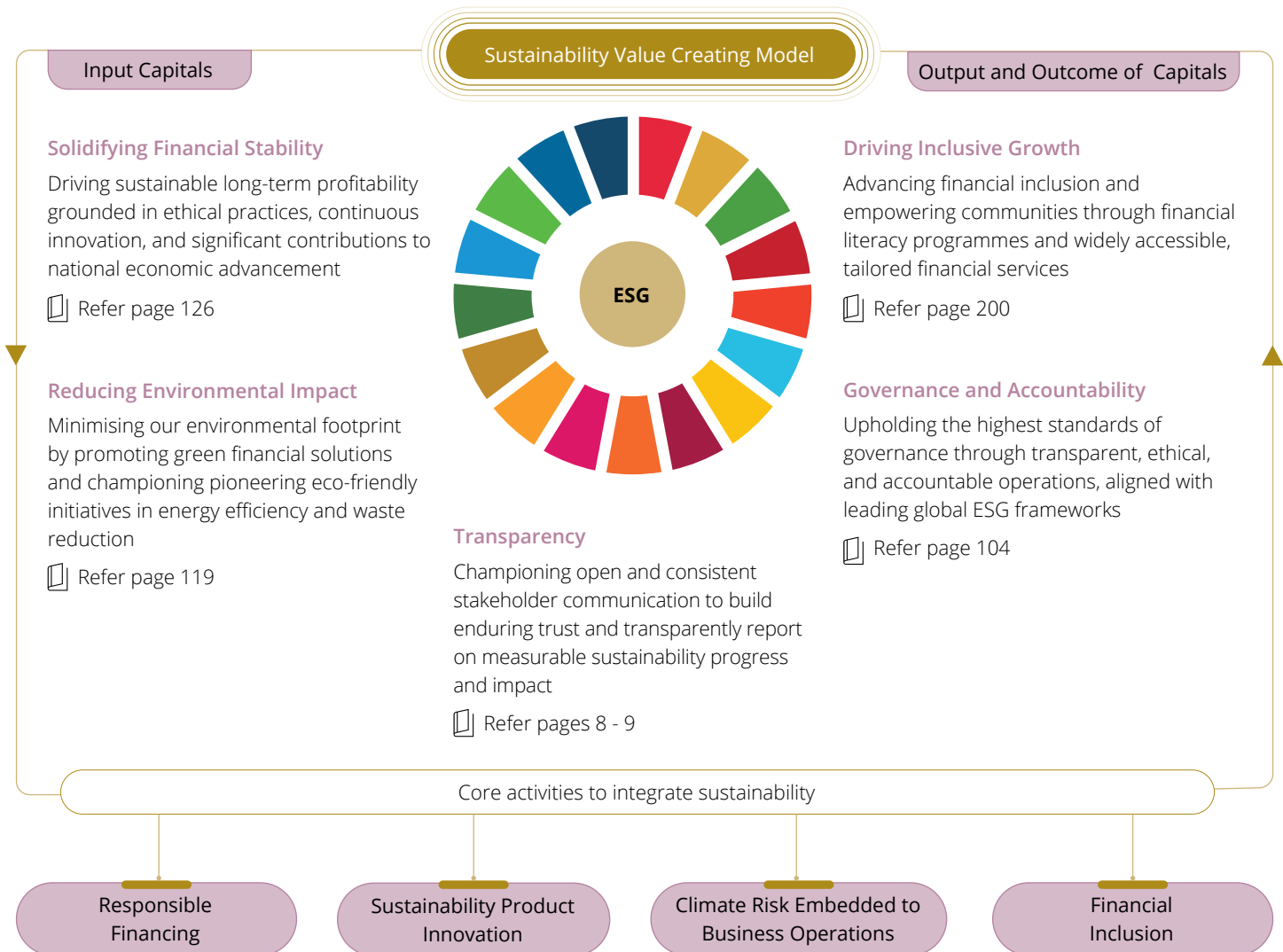
Cultivating an Empowering and Inclusive Work Culture

We place our people at the core of all our endeavours. We are committed to creating a safe, inclusive, and inspiring work environment where employees are valued, respected, and given opportunities to grow. By prioritising diversity, continuous learning, and well-being, we foster a high-performing culture that supports both employee satisfaction and organisational excellence.



UNCG - Principle 6, 10





Our commitment to sustainability is reflected in our ESG scorecard. Refer page 103

3.1 Integration of Sustainability into the Company's Vision, Mission and Core Values

At LBF, sustainability is the core driver of our vision to elevate the quality of life for our depositors, customers, employees, and the broader community. Our commitment to inclusive economic growth and social well-being is deeply embedded in our mission: to mobilise public funds through innovative financial solutions, empower entrepreneurs with prudent lending, and cultivate enduring stakeholder relationships

built on caring, personalised service. Our unwavering emphasis on employee empowerment, through continuous training and development, underscores our dedication to nurturing human capital and creating sustainable, long-term value. The foundational pillars of our operations, ethics, transparency, innovation, quality, professionalism, and teamwork guide our pursuit of responsible and resilient growth, meticulously aligned with the interests of all our stakeholders.

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3.2 Embedding sustainability in every decision

At LBF, embedding sustainability into the heart of our decision-making is a strategic imperative. We are dedicated to ensuring that Environmental, Social, and Governance (ESG) principles are systematically integrated and rigorously upheld throughout all departments, branches, and across every tier of our operations

Explanation	Our Action
Align purpose and sustainability strategic pillars	
Foster cross-functional collaboration to embed sustainability initiatives directly into core business strategies, transcending standalone projects.	Established a specialised sustainability unit to strategically oversee and drive the Company's comprehensive sustainability agenda. (See more on page 104)
Activate 'Purpose Ambassadors' across the organisation to promote and embed sustainability consciousness.	Formed a 'Green Team' comprising 59 dedicated members to champion sustainability initiatives across the organisation.
Establish a dedicated committee to provide oversight and ensure commitment to our sustainability agenda.	Reinforced our commitment through the establishment of a dedicated Board Sustainability Subcommittee and a Management-level Sustainability Committee. (See more on page 104)
Develop actions and outcomes	
Identify key sustainability metrics and set ambitious, measurable targets that are intrinsically linked to core business objectives.	Our clearly defined sustainability metrics and measurable targets, detailed on page 119, guide our performance in key areas including energy, water, waste management, and emissions reduction. The target is not validated by an external third party, however we are in the process of engaging a verifier in the upcoming financial period.
Announce our net-zero ambition and establish clear targets to progressively reduce climate-related exposures.	Our net-zero emissions target for 2050, aligning with national climate goals, includes an interim target of a 5% emissions reduction by 2030. (See more on page 221)
Integrate sustainability into our operations	
Ensure sustainability is foundational to all operations, integrated into every business unit and process.	Enhanced operational efficiency and promoted sustainable resource consumption by automating over 24 business processes, alongside expanding our green finance portfolio with the introduction of a dedicated solar loan product. (See more on pages 116 - 117)
	Introduced the Solar Loan scheme to the product portfolio.
	Introduced the green building concept and initiating the first green branch development in Chilaw.
	Launched the first AI-powered business loan to support digital transformation.
Drive skills development and awareness on sustainability	
Launch a company-wide learning and development platform dedicated to enhancing sustainability knowledge and skills.	Conducted 9 targeted training sessions for Board members on critical sustainability topics and evolving best practices.
Equip and empower all employees with the knowledge and tools to champion sustainable practices within their respective roles and beyond.	Dedicated to comprehensive sustainability engagement activities with key stakeholders, fostering dialogue and shared understanding.
Digital Transformation	
Digital transformation to reduce environmental impact, enhance operational efficiency, and deliver eco-friendly financial solutions to our customers	Achieved 39% growth in number of digital transactions through the LB CIM app, including the implementation of paperless concepts.
Hybrid Energy Adoption	
Transitioning to hybrid energy solutions and solarising branches to minimise carbon emissions	Commenced 40 hybrid solar-powered branches, reducing energy consumption and increasing operational sustainability. (See more on page 106)

3.3 Our ESG Strategy at LBF

At LBF, our ESG focus is fundamentally anchored in the United Nations' 2030 Sustainable Development Goals (SDGs), reflecting our commitment to building a sustainable and inclusive future. We believe that true value creation transcends mere financial performance; it demands a holistic commitment to Environmental, Social, and Governance (ESG) excellence. Through the identification and strategic management of Sustainability-related Risks and Opportunities (SRROs) and Climate-Related Risks and Opportunities (CRROs), we ensure our strategy is resilient, forward-looking, and inherently responsible.

This comprehensive approach, continuously informed by stakeholder engagement, empowers us to create enduring value for all our stakeholders—customers, employees, communities, regulators, and investors while championing long-term sustainable growth. Stakeholder dialogue is not just a process, but a cornerstone shaping strategies that are both responsible and future-proof.



Environmental



Social



Governance

Governance

We uphold robust governance frameworks and policies to ensure effective oversight of climate-related risks. Refer page 278

Strategy

Our strategic focus includes climate adaptation and resilience, with proactive identification of climate-related risks and opportunities that may impact our operations, disclosures, and long-term outlook. Refer page 93

Risk Management

We are committed to monitoring, managing, and reporting on relevant climate risks while enhancing the resilience of our operations. Refer page 320

Metrics, Targets, and Reporting

We are implementing key projects to reduce emissions within our operations. Refer page 109

Short to Medium-Term: Our focus is on reducing our operational footprint per employee. This includes targeted initiatives to enhance sustainability across our supply chain and embed eco-efficient business practices.

Long-Term: We are committed to achieving net-zero emissions across our operations by 2050. Refer page 221

Our People

We are committed to cultivating an exceptional workplace, prioritising job creation, employee wellness, diversity, inclusion, and equitable employment practices. Our strategy encompasses fair remuneration, continuous employee development, robust succession planning, and talent retention, solidifying our position as a trusted and sought-after employer.

Our Supply Chain

We strive to be an exemplary partner by promoting enterprise development within our supply chain, championing fair treatment for all suppliers, and embedding inclusive procurement practices. Refer page 199

Our Communities, Customers, Products, and Services

We provide accessible, affordable insurance solutions complemented by expert advice and exceptional service experiences. Building and maintaining consumer trust is paramount, achieved through the protection of privacy and adherence to responsible marketing practices. Our commitment extends into the community, where we contribute through targeted initiatives and impactful programmes. Refer pages 200 - 204

Governance, Oversight, and Accountability

We champion highly effective governance structures designed to ensure robust oversight and the execution of our corporate strategies. Our framework emphasises clear accountability mechanisms, strict role independence, and meticulous succession planning across the Board, Senior Management, and all critical control functions.

Risk Management, Control, Reporting, and Transparency

Our comprehensive risk management framework is foundational to maintaining resilient operations. We cultivate an effective internal control environment that guarantees strict regulatory compliance, ensures transparent reporting, and supports fair remuneration practices, all precisely aligned with our corporate strategy, prevailing regulations, and the evolving expectations of our stakeholders. Refer page 319

Ethics

A culture of ethics and robust risk awareness is intrinsically woven into the fabric of our operations, guiding responsible corporate conduct rooted in our core values. We manage potential conflicts of interest and maintain an absolute zero-tolerance policy towards financial crimes, fraud, bribery, and corruption. Refer pages 278 - 279

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Our ESG Policy

The ESG Policy of LBF articulates our strategic imperative to champion responsible and sustainable business practices across all operational domains. Acknowledging the critical and growing significance of ESG factors, we have instituted a robust and integrated governance framework. This framework empowers us to diligently identify, measure, monitor, and manage our multifaceted impacts on the economy, environment, and society, all while adhering to governance standards. Designed to foster integrated thinking and optimise resource allocation, the policy underpins our pursuit of financial resilience and long-term sustainable growth. Furthermore, it ensures alignment with pivotal regulatory standards such as SLFRS S1 and SLFRS S2, governing comprehensive sustainability disclosures and climate-related reporting.



Scan QR code to view
our ESG Policy

4. SUSTAINABILITY GOVERNANCE

Board Sustainability Committee

Oversight and Strategic Direction

- Board evaluates trade-offs in climate-related risks and opportunities.
- Provides ultimate oversight and strategic direction for the company's sustainability agenda, ensuring alignment with corporate objectives and stakeholder expectations.

Ensuring Skills & Competencies

- Guides management to ensure staff have or develop relevant sustainability-related expertise.
- Supports capacity-building and upskilling efforts aligned with strategic ESG goals

Setting and Monitoring of Sustainability Targets

- Quarterly reviews of climate-related targets and risks.
- Oversees annual GHG reduction goals and project onboarding.
- Monitors SDGs targets for priority sectors aligned with sustainable practices
- Links sustainability progress with business unit performance metrics.

Sustainability Management Committee

Chaired by the Deputy Managing Director, this committee is responsible for developing and driving the ESG strategy, conducting materiality assessments, proactively managing sustainability-related risks and opportunities, and monitoring progress against established sustainability goals.

Sustainability Department

Leads the coordination and integration of sustainability efforts company-wide, ensuring robust and accurate reporting, and overseeing the effective implementation and impact of sustainability initiatives.

Sustainability Champions

A network of designated individuals embedded within various departments, responsible for supporting and championing sustainability efforts, and driving the grassroots execution of initiatives within their respective areas.

5. SUSTAINABILITY PLEDGES

We have articulated unwavering pledges across each ESG domain. Environmentally, we are resolutely committed to minimising our ecological footprint through sustainable operational practices and a pursuit of resource efficiency. Socially, we champion

inclusivity, drive impactful community development, and are dedicated to tangibly improving the quality of life for all stakeholders. In governance, our pledge is to uphold the highest standards of transparency, maintain impeccable ethical conduct, and ensure adherence to

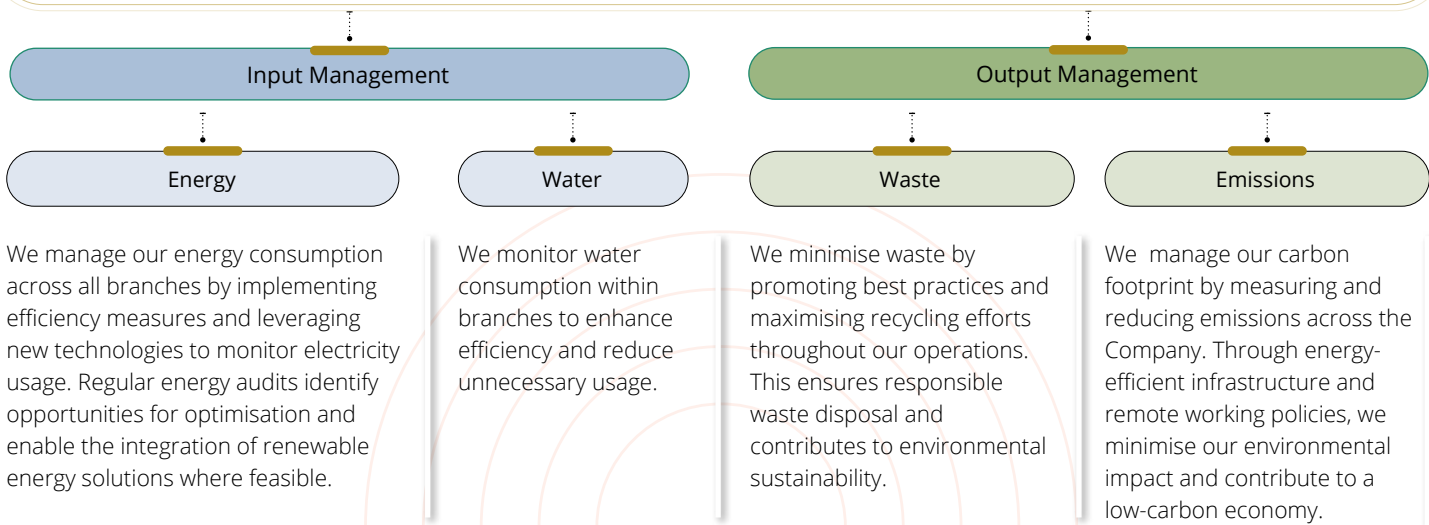
exemplary corporate governance principles. This structured, principle-driven framework underpins our vision of proactive corporate citizenship and the creation of enduring, long-term value.



6. RESPONSIBLE OPERATIONS

As a leading financial institution in Sri Lanka, we are committed to combating climate change and environmental degradation. We have adopted a strategic approach to minimise our environmental impact, addressing the most material concerns arising from our daily operations. Our Environment Policy prioritises the efficient and responsible use of resources, following the principles (Reduce, Reuse, Recycle, and Refuse) where necessary. We promote employee engagement and awareness to ensure consistent adherence to these practices.

Our Environmental Management System



6.1 Energy Management and Footprint

Recognising the significant impact of energy consumption on our carbon footprint, we have prioritised energy management and established baseline standards within our EMS to measure and monitor energy use.



Energy Footprint

55,714 GJ



Per employee
12.64 GJ



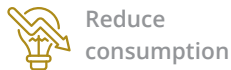
Per working day
232.14 GJ



Per outlet
257.94 GJ

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LBF's Ongoing Actions on Energy Management



Reduce consumption

Actions Taken

- Employing high-tech, energy-efficient equipment across all operations
- Installing solar water heating systems to reduce electricity consumption
- Utilising energy-efficient lighting for all signage and interior spaces
- Optimising HVAC (Heating, Ventilation, and Air Conditioning) systems using proven energy reduction methodologies
- Implementing electronic data collection and analysis tools to track energy consumption and identify areas for improvement
- Conducting energy audits and periodic assessments to ensure continuous improvement

- Maximising the use of natural light in all facilities
- Promoting green building concepts in new construction and renovations
- Transitioning branch operations to solar energy where feasible



Awareness

Actions Taken

- Promoting energy-saving tips through engaging displays
- Launching e-mail and social media campaigns to highlight the benefits of energy conservation



Employee engagement policies and procedures

Actions Taken

- Implementing energy reduction methods in the office and encouraging their adoption at home
- Securing employee commitment to our Sustainability Pledge and Energy Policy
- Regulating equipment operating times to minimise energy consumption



Refuse

Actions Taken

- Avoiding unnecessary power usage

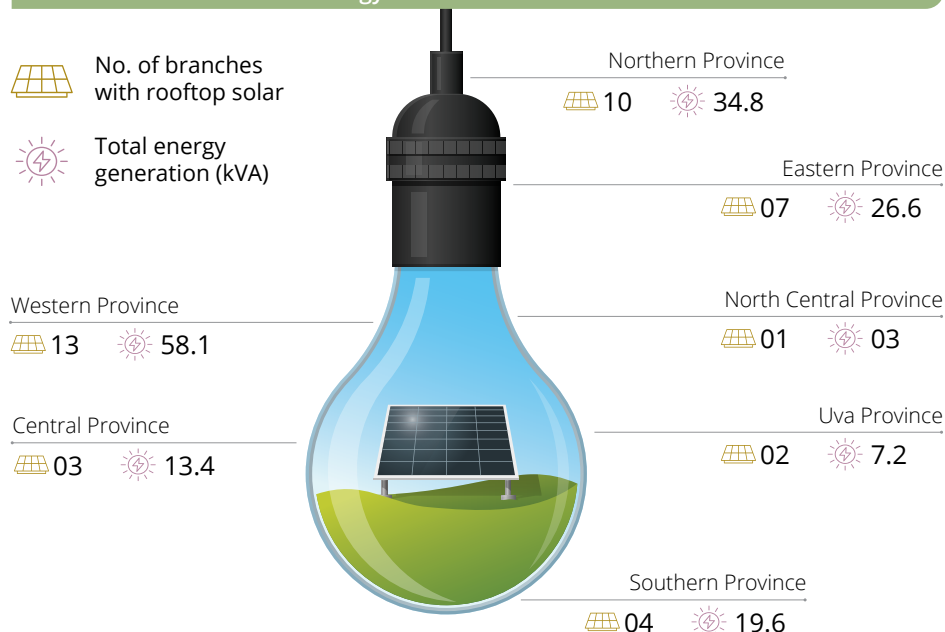
Energy Audit

To better understand our energy footprint, we partnered with U Tech Company this year to conduct a thorough energy audit encompassing energy consumption, power quality, and environmental conditions within our building. The audit identified our chiller system as the primary energy consumer, followed by lighting, office operations, and kitchen activities. Notably, temperature and humidity levels exceeded optimal ranges on weekends when the chiller system was inactive. We are now implementing U Tech's recommended strategies, targeting a 10% reduction in energy consumption to achieve a more sustainable and energy-efficient operation.

Our Renewable Energy Imperative

As part of our commitment to sustainability and reducing our carbon footprint, our solar powered branches programme remains a key initiative in our journey towards achieving net-zero carbon operations. We have invested in rooftop solar panel installations across our branches, demonstrating our commitment to renewable energy integration. This year, we equipped 14 additional branches with solar PV systems, bringing the total to 40 branches now operating with rooftop solar technology.

Province-wise Renewable Energy Generation



6.2 Water Management and Footprint

As a financial services institution, our water footprint is relatively small, primarily limited to utility and sanitary needs across our branch network, responsible water management remains a key priority. Our Company-wide water management plan provides clear guidelines for reducing daily water usage and promoting efficient consumption practices, guided by our comprehensive Environmental Policy.

LBF's Ongoing Actions on Water Management



Reduce consumption

Actions Taken

- Installing pressure-reducing valves to maintain consistent water pressure
- Equipping taps with spray attachments to regulate water flow effectively
- Utilising high-intensity pressure pumps for efficient vehicle washing



Awareness

Actions Taken

- Signage providing water-saving tips



Reuse

Actions Taken

- Using drain water for air conditioning cooling



Water Efficiency Interventions

Actions Taken

- Leak detection tools
- Automatic shutdown valves



Policies and procedures

Actions Taken

- Engaging employees through a Sustainability Pledge and enforcing our Water Policy, both integral to our Environmental Policy.



Water Footprint

48,514 m³

44,908 m³ 2023/24



Per employee
11.01 m³

10.87 m³ 2023/24



Per working day
202.14 m³

186.34 m³ 2023/24



Per outlet
224.60 m³

224.54 m³ 2023/24

6.3 Waste Management and Footprint

We have integrated the 4R principles into our daily operations. Our Sustainability Department educates employees on these practices to promote responsible resource consumption. Furthermore, we partner with Neptune (Pvt) Ltd, a registered recycling company, for the responsible disposal of paper waste. As part of our long-term strategy to reduce paper use by 10% within five years, we established the Digital Financial Service unit in 2019 and the LB Centre for Innovation and Technology in 2020.

LBF's Ongoing Actions on Waste Management



Refuse

Actions Taken

- Digitising document storage and archiving processes to create a paperless environment
- Implementing a centralised web portal to facilitate a paperless work environment
- Transitioning to e-business cards to reduce paper consumption



Reuse

Actions Taken

- Reducing paper waste by reusing paper and envelopes for appropriate purposes
- Minimising plastic waste by providing reusable glass water bottles for all Board meetings



Reduce

Actions Taken

- Monitoring and controlling inventory consumption through the inventory management system

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Recycle

Actions Taken

- Designating specific collection areas in each office for paper items to be sent for recycling
- Recycling all paper waste through our partnership with Neptune (Pvt) Ltd
- Partnering with an authorised e-waste recycling provider to ensure the responsible recycling of all electronic waste



Awareness

Actions Taken

- Distributing regular email notifications to enhance employee awareness of sustainability initiatives
- Conducting awareness campaigns to promote effective waste management practices among employees
- Educating employees on our Waste Policy to encourage responsible environmental behaviour



Waste Footprint

Total paper recycled
52,604 kg
20,109 kg (2023/24)



Saved



894

342 (2023/24)
No. of fully-grown trees



1,671,755 Litres
639,064 Litres (2023/24)
of water



92,320 Litres

35,291 Litres (2023/24)
of oil



210,416 kWh

80,436 kWh (2023/24)
of electricity



158 m³

60 m³ (2023/24)
of landfill

'SIHINA'

Discards to Dreams 2025

Turning Waste into Opportunities for Children's Dreams

Through Sihina, we believe that every bit of waste holds the potential to shape a child's brighter future. In our commitment to sustainability and social responsibility, we challenge our branches and departments to collect and dispose of waste responsibly over 80 days.

The funds generated from recycling waste through Sihina directly support children facing financial hardship in their pursuit of education. By transforming waste into a valuable resource, we not only contribute to environmental conservation but also empower the next generation with the gift of education. This initiative embodies our commitment to creating a sustainable and inclusive future, where business success is inextricably linked to positive social impact.

Discards to Dreams 2025

Let's Turn Waste into Opportunity for the Dreams of Children!

Through Sihina, we believe that every bit of waste can spark a child's brighter future. That's why we're challenging our branches and departments to collect and dispose of waste responsibly for 80 days.

**80-DAYS CHALLENGE
ARE YOU READY?**
(1st of January 2025 - 21st March 2025)

The Branch/Department to have collected the biggest weight of waste at the end of 80 days challenge shall win exciting prizes!

FIRST RUNNERS UP LKR 50,000/-	WINNERS LKR 75,000/-	SECOND RUNNERS UP LKR 30,000/-
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This competition is mandatory for all Departments and Branches! Heads of Departments & Branches, please ensure your teams are informed and motivated to contribute.



6.4 Emissions Management and Footprint

At LBF, we understand the urgency of addressing climate change and are fully committed to minimising our environmental impact. Recognising our responsibility to reduce greenhouse gas emissions, we are focused on reducing emissions across all our operations. Although our direct (Scope 1) emissions are limited, we are actively managing Scope 2 and 3 emissions through a combination of energy efficiency initiatives, increased renewable energy adoption, and the implementation of sustainable workplace practices. These strategies include reducing reliance on grid electricity, incentivising sustainable commuting choices, and exploring flexible work arrangements. As a responsible financial institution we have initiated the calculation of finance emissions under indirect emissions. Our long-term vision includes achieving consistent year-on-year reductions in our overall carbon footprint, contributing to a more sustainable future.

LBF's Ongoing Actions on Emission Management



Reduce consumption

Actions Taken

- Transitioning to energy-saving equipment to replace high-energy intensive alternatives
- Promoting the use of public transportation and carpooling to reduce reliance on private vehicles
- Regulating energy usage during peak demand periods
- Providing integrated transportation solutions for business-related travel
- Encouraging green building construction practices
- Transitioning to electronic business cards to minimise paper consumption



Awareness

Actions Taken

- Implementing e-mail campaigns to educate employees on energy and water-saving mechanisms
- Encouraging customers, corporate partners, and the public to adopt low-emission practices
- Providing sustainability training and orientation to all new employees



Inspire

Actions Taken

- Championing carbon neutrality by adopting a carbon footprint calculation process and encouraging peers to do the same



Policies and procedures

Actions Taken

- Gaining employee commitment to environmental stewardship
- Emissions Policy (as part of our Environmental Policy)



Emission Footprint

36,934 tCO₂



**Per employee
8.38 tCO₂**



**Per working day
153.89 tCO₂**



**Per outlet
170.99 tCO₂**

Carbon Journey

Driven by our commitment to a low-carbon future, we have been certified as a Carbon Conscious Company since 2013/14. We also became the first in the industry to achieve carbon neutral status three times, a testament to our ongoing efforts to refine our policies and procedures and continuously improve our products and services through technological innovation.

Our carbon reduction journey is guided by the Greenhouse Gas (GHG) Protocol, the ISO 14064-1:2018 Standard for carbon footprint verification, and national sustainability frameworks that drive corporate climate action. To further enhance our commitment, we will pursue the Science-Based Targets initiative (SBTi) ensuring our emissions reduction goals align with the Paris Agreement's ambition to limit global warming to well below 2°C.

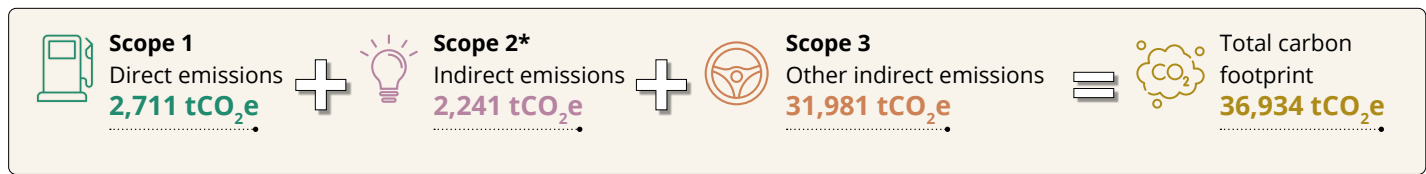
Furthermore, we recognise the importance of addressing Scope 3 emissions and are committed to engaging our supply chain to reduce financed emissions, aligning with the UN Sustainable Development Goals (SDGs), particularly Goal 13 on Climate Action.



Refer page 08 for more information on our carbon journey

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GRI: 305-1, 305-2, 305-3



*Scope 2 emissions are location-based.

**Scope 1****Actions Taken**

- Reduce GHG emissions in workplace arrangements, construction, and maintenance of office premises
- Implemented sensor-based, energy-efficient lighting where feasible
- Enhanced employee awareness of LBF's Sustainability Pledge and Environmental Policy
- Promoted the use of online platforms for business meetings
- Conducted energy audits

**Scope 2****Actions Taken**

- Installed solar panels across 40 branches to generate 122,472 kWh/year of renewable energy
- Educated employees on electricity conservation best practices through email campaigns and workshops

**Scope 3****Actions Taken**

- Reduced financed emissions through strategic initiatives and promote electric vehicle leasing options for employees
- Encouraged the use of public transportation
- Awareness on prominent water conservation tips
- Promoted recycling and circular economy practices

6.4.1 Our own carbon emissions

As a financial institution, we have a direct impact on the environment through energy consumption, waste generation, and water use, all contributing to resource depletion and carbon emissions. We are committed to continuously reducing our direct environmental impact by minimising resource use and preventing pollution. These commitments are detailed in our environmental action plan, which sets medium to long-term targets for our environmental footprint.

6.4.2 Our Scope 3 Financed Emissions

As a financial institution, our primary impact on the economy and society arises from mainly Auto Finance we provide. To understand our climate impact, it is crucial to quantify the emissions associated with the activities we finance.

While climate emissions represent a significant part of the overall environmental impact, they do not encompass it entirely. To accurately assess and report our financed emissions, we have adopted the methodology developed by the Partnership for Carbon Accounting Financials (PCAF). This approach aligns with the Greenhouse Gas (GHG) Protocol and standardises the reporting of Scope 3 Category 15 emissions, commonly referred to as financed emissions. Although LB Finance is not yet an official PCAF member, this methodology enables us to deliver transparent, consistent, and comparable measurements of financed emissions across the NBFI sector.

Financed emissions: Auto Finance**Calculation methodology**

According to PCAF, the financed emissions from Auto Finance can be calculated in several ways depending on the availability

of data to derive the financed vehicle's emissions. Overall, PCAF distinguishes three options to calculate the financed emissions from Auto Finance depending on the data used, these are actual vehicle-specific emissions, estimated vehicle specific emissions and estimated vehicle-unspecific emissions.

As a basic attribution principle, the financial institution accounts for a portion of the borrower's annual vehicle emissions as determined by the ratio between the outstanding amount and the value of the vehicle at loan origination as the denominator. This ratio is called the attribution factor. The financed emissions from a Auto Finance are calculated by multiplying the attribution factor by the emissions factor of the vehicle.

GHG emissions inventory – tCO₂e

Scope	Source	2024/25 tCO ₂ e
Scope 1	On-site generators	33.96
	Refrigerant leakage	411.63
	Company - owned vehicles	163.57
	Employee commuting - Fuel paid by the Company	2,101.83
	CO ₂ fire extinguishers	0.03
Scope 1 total		2,711.02
Scope 2	Grid electricity consumption	2,241.45
Scope 2 total		2,241.45
Scope 3	Purchased goods & services	1,226.78
	Water consumption	7.27
	Capital goods	380.11
	Upstream emission for purchased fuel	591.22
	Upstream emission for purchased electricity	465.79
	Electricity transmission and distribution losses	229.83
	Waste generation	4.13
	Business air travel	5.80
	Employee commuting	1,806.67
	Teleworking	18.88
	Financed emission - Motor vehicle loans	27,245.12
Scope 3 total		31,981.60
Total emissions		36,934.07

	Source	tCO ₂ e	tCO ₂	tCH ₄	tN ₂ O	tHFCs
Scope 1	On-site generators	33.96	33.83	0.05	0.08	
	Refrigerant leakage	411.63				411.63
	Company - owned vehicles	163.57	160.56	0.76	2.25	
	Employee commuting - Fuel paid by the Company	2,101.83	2,046.98	29.05	25.80	
	CO ₂ fire extinguishers	0.03	0.03			
Scope 1 total		2,711.02	2,241.40	29.86	28.13	411.63

Carbon Footprint Verification

Our carbon footprint calculations are independently verified according to the ISO 14064-1:2006 standard, ensuring the accuracy and credibility of our reported emissions data.

This carbon footprint assessment provides valuable insights that guide our emission reduction strategies and initiatives.



Scan QR code for more information on the carbon footprint report

INTEGRATED SUSTAINABILITY REPORT**Greenhouse Gas Assurance Report**



GREENHOUSE GAS VERIFICATION OPINION

Certificate Code: CU904734CU-GHG-01.2025

GHG statement in the reporting year 2024/2025 of

LB Finance PLC

No 275/75, Prof. Stanley Wijesundara Mawatha, Colombo 07, Sri Lanka

has been verified in accordance with ISO 14064-3:2019 as meeting the requirements of

ISO 14064-1:2018

Control Union Certifications has inspected and verified the unit(s) of the above-mentioned client, in accordance with the standards mentioned and declares that

01 Direct emissions	2,711.02 tonnes of CO ₂ e
02 Indirect emissions from imported energy	2,241.45 tonnes of CO ₂ e
03 Other indirect emissions	31,981.60 tonnes of CO ₂ e

Total Verified Greenhouse Gas Emissions: 36,934.07 tonnes of CO₂e

GHG statement covers the operations of twelve (12) months
from April 01, 2024, to March 31, 2025

Date of Verification
16 May 2025

Place and Date of Issue:
Colombo 07, 16 May 2025



Declared by

On behalf of the Managing Director



Umesh Hettiarachchi
Reviewer
Control Union Inspections (Pvt) Ltd
2nd Floor, BAM Musee Tower,
52 Sir Marcus Fernando Mawatha,
Colombo 07, Sri Lanka





Methodology and Scope

Control Union Inspections (Pvt) Ltd. (Control Union) completed the review in accordance with ISO 14064-3:2019 - Specification with guidance for the verification and validation of greenhouse gas statements. As such, Control Union planned and performed work in order to provide reasonable level assurance with respect to the GHG Statement.

Period covered in GHG verification: April 01, 2024, to March 31, 2025

GHG Sources/sinks included: Direct and indirect emission sources as presented in the GHG statement for the financial year 2024/2025 provided by LB Finance PLC.

Types of GHGs included: CO₂, CH₄, N₂O, HFCs

Directed Actions: None reported.

Intended user of the verification statement: To be shared with the intended users as required by LB Finance PLC

Objectives and Criteria:

The purpose of this verification exercise is, by reviewing objective evidence to independently review the GHG emissions are as described by the organization's GHG emissions, and the reported data are accurate, complete, transparent and free of material error or omission. Criteria against which the verification evaluation is undertaken are the requirements specified in ISO 14064-1:2018.

Materiality

Materiality was set at 5% in accordance with the requirements of the intended users

Location/Boundary of the activities

Name of Facility	Location	Process/ Activities
Head Office, LB Finance PLC	No. 275/75, Prof. Stanley Wijesundara Mawatha, Colombo 07, Sri Lanka	Deposits, Loans & Receivables, Value added services
Corporate Office, LB Finance PLC	No. 20, Srimath Anagarika Dharmapala Mawatha, Colombo 03, Sri Lanka	Deposits, Loans & Receivables, Value added services
Branches, LB Finance PLC	Island-wide presence	Deposits, Loans & Receivables, Value added services

INTEGRATED SUSTAINABILITY REPORT**Conclusion**

Based on our review, nothing has come to our attention which causes us to believe that the GHG Statement is not presented fairly in accordance with the relevant criteria. The emission estimates were calculated in accurate, consistent and transparent manner and were found to be a fair and accurate representation of LB Finance PLC's actual emissions and were free from material misstatement. Control Union identified several minor, immaterial discrepancies in LB Finance PLC's greenhouse gas inventory which were corrected by LB Finance PLC during the course of the verification.

The organization provided the GHG statement based on the requirements of ISO 14064-1:2018 for the period to disclose emissions of 36,934.07 tonnes of CO₂ equivalent are verified by Control Union to a reasonable level assurance, consistent with the agreed verification scope, objectives and criteria.

Control Union concludes with reasonable level assurance that the presented GHG statement is materially correct and is a fair representation of LB Finance PLC's data and information and is prepared following the requirements of ISO 14064-1:2018.

This opinion shall be interpreted with the GHG Statement of 2024/2025 GHG report of LB Finance PLC. as a whole.

Date of Verification
16 May 2025
Place and Date of Issue:
Colombo 07, 16 May 2025

Authenticated by
On behalf of the Managing Director

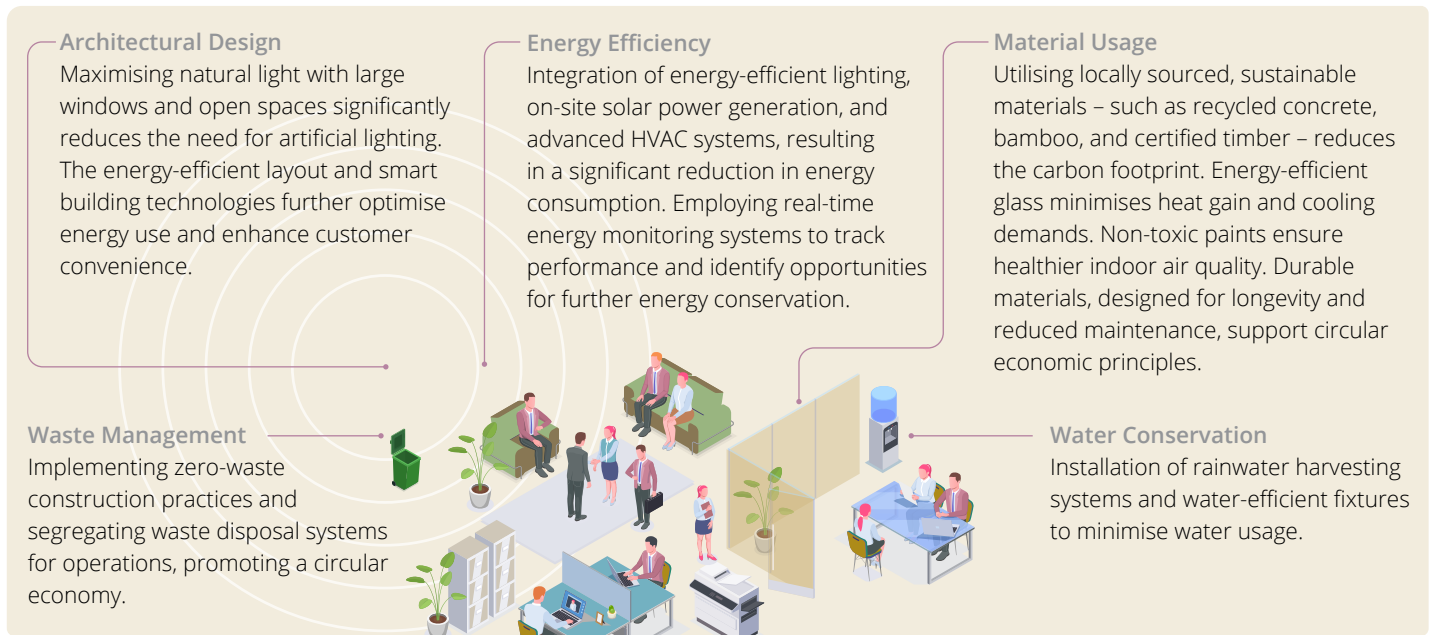
A handwritten signature in black ink, appearing to read 'Umesh'.

Umesh Hettiarachchi
Reviewer

7 GREEN BUILDING PRACTICES

LBF Pioneers Sustainability with Green Branch in Chilaw

Demonstrating our commitment to environmental responsibility, we have planned a green branch in Chilaw, designed to meet GREENSL® rating system standards. Certified by the Green Building Council of Sri Lanka (GBCSL), this initiative integrates sustainable practices into our operations and sets a new benchmark for green construction in the financial services sector.



Environmental Impact

The Chilaw green branch is projected to achieve:

- 20% - 40% reduction in energy consumption compared to conventional buildings

- 10,000 - 20,000 litres of annual water conservation through innovative water management systems
- 25% - 50% reduction in its carbon footprint through renewable energy integration

Social Responsibility and Community Impact

- Employment opportunities will generate during the construction phase and beyond. The branch is designed to be inclusive, offering easy access to differently abled individuals.

Economic Benefits

The Chilaw green branch will generate long-term cost savings through reduced energy and water consumption. This investment in sustainable infrastructure also enhances the building's value and positions LBF as a leader in sustainable finance.

Future Plans

The Chilaw green branch marks the first step in our strategy to integrate green building principles across all LBF branches. Scaling this initiative will reduce our environmental footprint and cultivate a culture of sustainability within the organisation and the communities we serve.



INTEGRATED SUSTAINABILITY REPORT

8. RESPONSIBLE PRODUCTS AND SERVICES

We recognise the potential environmental impact of our core business activities and strive to ensure a positive outcome.

8.1 Green Leasing

Our green lending scheme offers preferential terms for leasing hybrid and electric vehicles, which significantly reduce carbon emissions compared to traditional gasoline or diesel vehicles.

	No. of Green Financing Facilities	Amount Granted (Rs. Mn)
2024/25	2,716	7,351
2023/24	1,597	5,056
2022/23	855	2,411
2021/22	1,457	4,135
2020/21	2,293	4,293



8.2 Solar Loan Scheme

The Solar Loan Scheme offers flexible financing with competitive interest rates and customisable repayment terms. It caters to homeowners, small businesses, and enterprises, providing quick approval through streamlined digital processes. Financing covers solar panels, inverters, batteries, and maintenance costs, making solar adoption accessible and hassle-free.

	No. of Solar Financing Facilities	Amount Granted (Rs. Mn)	kW Generated
2024/25	13	25.5	180



8.3 Green Loans through Digital Lending

We streamline green loan applications through advanced digital platforms. Customers enjoy online applications, real-time progress tracking via digital dashboards, and paperless documentation, ensuring a seamless and sustainable lending experience.

	No. of CIM Loans Disbursed	Amount Granted (Rs. Mn)
2024/25	4,056	533.77



8.4 Green Partnerships

Marking a key milestone, we joined the United Nations Global Compact (UNGC) Network Sri Lanka in 2024, reinforcing our dedication to responsible business practices and contributing to global climate action. This partnership enables us to align our strategies with the UNGC's framework for sustainable development.

Beyond the UNGC, we partner to minimise environmental impact. We have collaborated with Neptune Papers (Pvt) Ltd., on responsible paper recycling initiatives. Furthermore, we have strengthened our

emissions management by engaging Control Union Inspections (Pvt) Ltd., to conduct Greenhouse Gas (GHG) verification, ensuring adherence to internationally recognised environmental standards.

8.5 Business Process Digitalisation

The LB CIM app promotes sustainable financing with a significantly low environmental footprint. As a cashless and fully digital solution, LB CIM app eliminates the need for paper and reduces customer commuting, minimising its environmental impact.



 Refer Intellectual Capital on page 172 for information

9. IDENTIFYING SUSTAINABILITY-RELATED AND CLIMATE-RELATED RISKS AND OPPORTUNITIES

The process of determining material matters serves as a strategic cornerstone for identifying critical SRROs and CRROs.

Material matters assessed as highly significant inherently represent notable risks or opportunities for the Company, demanding proactive and strategic management. The Head of Sustainability is tasked with providing the Head of Risk with a prioritised list of these material matters. This ensures the seamless integration

of all relevant SRROs and CRROs into the Company's Risk Register, thereby guaranteeing their inclusion and oversight within our broader risk management framework, encompassing robust measurement, continuous monitoring, effective management, and transparent reporting processes.

 For more information refer page 337, Integrated Risk Management

10. CONTRIBUTING TO THE UN SDGs



Our dedication to a sustainable future at LBF is a driving force, deeply intertwined with our active contribution to the UN Sustainable Development Goals (SDGs). Our initiatives are crafted to stimulate economic prosperity, uphold environmental stewardship, and enhance social well-being. By embedding the SDGs into the core of our business strategies, we aim to deliver a holistic and positive impact, creating lasting value for our customers, the communities we serve, and the planet.

SDGs and Underlying Targets		Initiatives Implemented by LB Finance	Page
1 NO POVERTY 	No Poverty (1.4)	- Conducted financial inclusion programmes - Offered microfinance facilities in Myanmar	33 - 36 241 - 244
2 ZERO HUNGER 	Zero Hunger (2.3, 2.4)	- Launched the LB CIM mobile merchant app for SME development - Organised capacity building for entrepreneurs	34 204
3 GOOD HEALTH AND WELL-BEING 	Good Health & Well-Being (3.1, 3.2, 3.7, 3.8)	- Provided health facilities for selected locations - Conducted mental and physical health programmes	203 201, 203

INTEGRATED SUSTAINABILITY REPORT

SDGs and Underlying Targets		Initiatives Implemented by LB Finance	Page
4 QUALITY EDUCATION 	Quality Education (4.1, 4.2, 4.4, 4.5, 4.6)	• Continuation of pre-school development project	202
		• Initiated learnerships and targeted business training programmes to foster skill development and enhance professional capabilities	204
		• Supported the development of Sri Lanka's education system through the implementation of targeted awareness programmes	204
5 GENDER EQUALITY 	Gender Equality (5.1, 5.2, 5.5, 5b)	• Initiated women empowerment programmes	200
		• Launched a women-centric gold loan product to expand financial accessibility	35, 178, 231
6 CLEAN WATER AND SANITATION 	Clean Water and Sanitation (6.1)	• Provided purified drinking water to students at Sunanda Maha Vidyalaya, Padeniya	203
7 AFFORDABLE AND CLEAN ENERGY 	Affordable and Clean Energy (7.2, 7.3)	• Converted 40 branches to hybrid solar power systems.	106
		• Conducted energy audits	106
		• Introduced a dedicated Solar Loan product	116
8 DECENT WORK AND ECONOMIC GROWTH 	Decent Work and Economic Growth (8.2, 8.3, 8.5, 8.6, 8.10)	• Enhanced SME service offerings and launched m-commerce platforms to support business growth	204
		• Championed digital transformation in Sri Lanka by implementing and promoting QR-based payment solutions	181
9 INDUSTRY, INNOVATION AND INFRASTRUCTURE 	Industry, Innovation and Infrastructure (9.1, 9.3, 9.4)	• Inclusion through rural connectivity by opening branches	33
		• Strategically deploying disruptive technologies, such as Artificial Intelligence (AI), to optimise business processes	181
10 REDUCED INEQUALITIES 	Reduced Inequalities (10.2)	• Developing and delivering targeted financial solutions to empower marginalised communities.	35
11 SUSTAINABLE CITIES AND COMMUNITIES 	Sustainable Cities and Communities (11.3, 11.7)	• Implemented urban tree planting and landscaping programmes to improve local environments and community well-being	216
		• Expanding our product and service offerings through accessible and user-friendly digital platforms	181
12 RESPONSIBLE CONSUMPTION AND PRODUCTION 	Responsible Consumption and Production (12.5)	• Instituted comprehensive waste management programmes focused on reduction, reuse, and recycling	219
		• Promoted recycling and responsible use of plastics within our operations and community initiatives	105
		• Pursuing and achieving green building accreditation for our facilities to minimise environmental impact	115
13 CLIMATE ACTION 	Climate Action (13.1, 13.3)	• Implementing targeted climate programmes and robust energy efficiency initiatives across operations	95, 213
		• Transitioning towards greater reliance on renewable energy sources for our operational needs	213
14 LIFE BELOW WATER 	Life Below Water (14.2)	• Protection for marine eco system through projects such as beach care taker and colour fish project	217

SDGs and Underlying Targets	Initiatives Implemented by LB Finance	Page
 15 LIFE ON LAND Life on Land (15.2, 15.7, 15.5, 15c)	• Implemented reforestation programmes in the Yagirala forest reserve	216
	• Instituted a tree planting programme integrated with every new branch opening.	215
	• Launched a mangrove planting programme in Ittapana	215
 16 PEACE AND JUSTICE STRONG INSTITUTIONS Peace, Justice and Strong Institutions (16.4, 16.5, 16.6)	• Implemented anti-money laundering and anti-bribery initiatives within the organisation	277, 296, 313, 335
 17 PARTNERSHIPS FOR THE GOALS Partnerships for the Goals (17.7, 17.8, 17.17)	• Collaborated with the UN Global Compact to advance shared sustainability goals.	303
	• Nurtured sustainable partnerships with government and private organisations	215 -218

11. SUSTAINABILITY STRATEGY WITH MEASURABLE TARGETS

Pillars Upholding Sustainability	Strategic Focus	KPI	2024	2030	2050	Capital Alignment
Solidifying Financial Stability	Building a Sustainable Portfolio	Enhancing Green and Sustainability-linked portfolio				 NC
	Keeping Strong Fund Mix	Leveraging Green Product-based refinance schemes				 FC
	Embedding Climate and ESG Risk in Credit Evaluation	ESG-based Credit Score				 FC
Reducing Environmental Impact	Responsible Consumption	Reducing Energy Consumption, Water Consumption, Fuel Consumption, Waste Management				 NC  MC
	Aligning with Net Zero Emission Target	GHG Carbon Footprint Measurement (Including financed emission)				 NC  MC
	Climate Risk Management and appropriate disclosure	Adoption under IFRS S1 and S2				 FC  NC
Driving Inclusive Growth	Financial Inclusion	Attract more customers through Digital transactions				 FC  IC
	Community Well-being	Expanding the net of CSR Beneficiaries and strategic partnerships				 SRC
Building a Great Workplace	Empowering Employees	Increase No. of trainings, Employee Benefits, Productivity per employee				 HC
	Promoting Diversity & Gender Balance	Increasing Women hires				 HC
	Ensuring Zero Tolerance for Bribery and Corruption	Monitoring and Solving Whistleblowing Cases				 HC

 Completed  In Progress  Not Started

INTEGRATED SUSTAINABILITY REPORT

12. OUR COMMITMENT TO THE UNGC 10 PRINCIPLES

UNGC Principles	Examples of LBF Initiatives Aligned with UNGC Principles	Page
Human Rights (Principles 1 and 2)	- Promoting financial inclusion for marginalised groups - Upholding employee rights and ensuring equal pay across all genders	228 158
Labour Standards (Principles 3, 4, 5, 6)	- Enforcing fair working conditions and employee safety - Providing employee development programmes and training opportunities	152 158
Environment (Principles 7, 8, 9)	- Committing to solar energy projects and energy efficiency - Implementing green building certifications and waste management initiatives	106 115, 107 - 108
Anti-Corruption (Principle 10)	- Launching anti-money laundering and anti-bribery initiatives - Strengthening internal compliance protocols to prevent corruption	541 541

13. ESG INTEGRATION ACROSS DEPARTMENTS AND BRANCHES

At LBF, we are committed to the systematic integration of ESG principles across all functional units and branch networks. This commitment is reflected in our ongoing efforts to embed sustainability into our daily operations and long-term strategies. We encourage the adoption of ESG-focused documentation and practices at every level of the organisation, ensuring that our systems evolve towards greater environmental efficiency through progressive digitisation.

To further strengthen our sustainability efforts, we have customised ESG policies tailored to the unique operational environments of each department and branch. These policies are designed to address specific local and functional needs, ensuring that sustainability principles are effectively applied and continuously refined. This holistic approach ensures that ESG integration becomes a fundamental part of our organisational culture, driving both operational efficiency and environmental responsibility across the entire network.

13.1 Enhancing Energy Efficiency through Infrastructure

To proactively reduce our environmental footprint and enhance operational efficiency, we have implemented a comprehensive suite of energy-saving measures. A key initiative involves the strategic rollout of solar panel installations across designated branches, resulting in energy savings, a reduction in carbon emissions, and lower operational electricity expenses.

Furthermore, in-depth energy audits have been systematically conducted to identify areas for improvement and recommend actionable solutions. These audits have catalysed crucial upgrades, including the transition to highly efficient LED lighting systems, the optimisation of air conditioning performance, and the implementation of automated schedules for lighting and cooling systems.

Complementing these efforts, we are committed to advancing green branch development. This integrated approach encompasses the design and construction of branches utilising environmentally conscious materials, maximising the use of natural daylight, installing water-efficient low-flow fixtures, and employing sustainable landscaping techniques to minimise water consumption and urban heat island effects. These green building initiatives are fundamentally guided by

principles of natural capital preservation, ensuring that our growth aligns seamlessly with our commitment to environmental stewardship. (Refer to our natural capital strategy detailed on page 208).

13.2 Building a Culture of Sustainability

We drive internal sustainability engagement through a robust programme of ongoing employee awareness campaigns, targeted training modules, and skill-enhancing capacity-building workshops. The core aim of these initiatives is to promote and instil sustainable workplace practices, such as optimised energy conservation, proactive waste minimisation, and mindful paper usage. Employees are strongly encouraged to take an active role in our 'Green Office' programmes, lead ESG-focused projects, and engage in sustainability innovation challenges (including the CSR Challenge) that are integral to achieving our long-term ESG goals.

To deeply embed a sustainability mindset within our corporate culture, innovative competitions are frequently organised to stimulate creativity and widespread engagement, especially concerning the resourceful use of recyclable and biodegradable materials. These dynamic events serve as powerful catalysts for innovation while practically and engagingly reinforcing environmental stewardship, thereby enhancing our natural and human capital. (Refer pages 208 to 150).

13.3 Sustainability Impacts

Our strategic commitment at LBF involves the continual analysis and enhancement of our sustainability impact, particularly in critical areas such as carbon emission reduction. Key actions driving this commitment include a systematic shift towards hybrid and electric vehicles to lessen our environmental footprint. Investment in solar-powered branches is another cornerstone, promoting renewable energy utilisation and minimising overall energy demand. Additionally, our adoption of a slipless transaction approach significantly reduces paper waste, advancing our eco-conscious, digital-first service delivery. (Refer pages 105 - 117)

14. SUSTAINABILITY IN MYANMAR OPERATIONS

Sustainability forms the core ethos of LB Microfinance Myanmar's operations, mirroring LBF's overarching dedication to fostering inclusive economic growth and social empowerment. Operating strategically across Bago, Magway, Ayeyarwady, and Yangon, our subsidiary is focused on uplifting underserved communities by providing vital, accessible financial services. With a workforce comprising 60% women and a customer base where more than 95% are female, the organisation champions gender equality, forging pathways to financial independence and entrepreneurial success for women in rural and semi-urban regions. Through tailored group microfinance and SME loans, LB Microfinance Myanmar not only catalyses income generation and robust business development but also significantly strengthens social capital within these communities. Its strategic goal to become one of the top three microfinance institutions in Myanmar within the next three years underscores a commitment to scaling sustainable impact, empowering individuals, and contributing meaningfully to the nation's socioeconomic advancement.

15. ROADMAP FOR SUSTAINABLE FINANCE ACTIVITIES IN SRI LANKA

In 2019, the Central Bank of Sri Lanka (CBSL) introduced the "Roadmap for Sustainable Finance in Sri Lanka," which was revised in 2022. This comprehensive framework provides financial institutions with clear guidelines for effectively

managing ESG risks associated with the projects they finance. It also encourages support for businesses that are environmentally sustainable, climate-friendly, and socially inclusive. In 2025, the CBSL issued the "Sustainable Roadmap 2.0," further advancing these objectives and setting clear timelines for the next phase of sustainable finance integration across the financial sector.

In alignment with these evolving frameworks, LBF is committed to embedding sustainability into our core business strategy and financial practices. To reinforce this commitment, we have developed a comprehensive ESG Policy, which has been formally approved by the Board. This policy serves as a foundational framework to ensure that ESG considerations and sustainable finance principles are systematically integrated into our decision-making and operational processes.

The policy outlines the roles and responsibilities of the Board and Senior Management in guiding LBF towards long-term sustainability. While the Board retains ultimate oversight of ESG and sustainable finance governance, Senior Management is responsible for executing the strategy and ensuring that it aligns with both national and global sustainability objectives. This integrated approach ensures that LBF continues to be a leader in driving sustainable growth and responsible business practices, in line with the timelines set out in the newly issued Sustainable Roadmap 2.0.

INTEGRATED SUSTAINABILITY REPORT

Net-zero across all LBF operations

2050/51

2026/27

- Transition of all branch operations to solar energy where feasible
- Innovate sustainable loan products
- Develop sustainable saving products

2025/26

- Commencement of first green branch development
- Implement negative lending list
- Adoption of GHG protocol
- Anticipated future financial impact reporting under SLFRS S1
- Climate resilience reporting under SLFRS S2

2021/22

- Dedicated Facebook page for integrated reporting and sustainability
- Set sustainability ambition for 2030

2019/20

- Launch of CIM mobile wallet for digital transactions
- Reached over 34,000 trees planted under "Thuru Wawamu" environmental project

2017/18

- First QR based online sustainability report
- Relaunch of LB Sustainability website

2015/16

- Became the first carbon neutral Finance Company in Sri Lanka
- Initiated a water bottle sticker campaign to pass green messages
- Launch of sustainability dashboard

2030/31

- All new LBF buildings operate at net zero
- Carbon credit generating Company
- Allocate a portion of savings or funding to investment of sustainable bonds

2024/25

- Obtained UNGC Network Sri Lanka membership
- Introduced Solar Loan product
- Calculated financed emissions
- Revised ESG Policy and introduced a Climate Policy
- Limited assurance on SLFRS S1 and S2

2022/23

- Followed transparency checklist issued by Transparency International Sri Lanka
- Carbon conscious Company for the 10th consecutive year

2020/21

- 42,000+ trees planted under 50 to 50,000 tree planting programme
- Focus on business and digital driven CSR initiatives

2018/19

- Launched "Thuru Wawamu" environmental project
- Established a Digital Financial Services Unit

2016/17

- First time contribution to SDGs
- Modification of 150 islandwide pre-schools

